

PSI Exam Prep: Property Management

STUDY SHEET

Top Takeaways

Three percent of your licensing exam questions will relate to property management.

A. Duties and Responsibilities

1. Procurement and Qualification of Prospective Tenants

- A property manager's primary goal is to produce the greatest net return for the owner and to act in the property owner client's best financial interest at all times.
- Licensees who are acting as property managers should take care to not act outside their scope of expertise and encourage landlords to seek expert advice about situations that are outside the licensees' or the landlords' scope of expertise.
- If a real estate licensee wants to be paid to manage properties for others, a written property management agreement must be in place.
- The licensee and the property owner are the parties to a property management agreement that establishes a general agency relationship.
- The agreement serves as the guide for managing the property and outlines the duties and responsibilities of both the property manager and the owner. Property management agreements should include:
 - A description of the property to be managed
 - The term of the agreement (definite beginning and ending dates, and provisions for termination)
 - A description of all of the manager's duties (and any restrictions on the manager's duties, if any)
 - A statement describing the owner's purpose (what the owner wants the manager to accomplish)
 - A description of the owner's responsibilities
 - An explanation of the manager's authority
 - Any reporting the manager owes (frequency, types of reports, and details to be included in reports; state property management rules and laws often dictate which of these will need to be included)
 - Compensation to be paid (management fee or compensation calculation)
 - An antitrust provision (as with other real estate-related compensation, compensation and fees are negotiable)
 - A statement of management costs the manager will pay (such as office rent, employees, etc.) vs. what the owner will pay
 - An equal opportunity statement (residential property management activities must comply with fair housing laws)
- Common property manager duties can include:
 - Maintaining and delivering financial reports (such as the operating budget, cash flow reports, profit statements, and budget comparisons)
 - Renting properties (including researching the market and setting rental rates)
 - Marketing properties (such as performing advertising and promotional activities)
 - Screening and selecting tenants (again, residential property managers must be sure to comply with local, state, and federal fair housing laws)
 - Handling security deposits and collecting rent (following strict guidelines for these trust funds, avoiding conversion and commingling, and maintaining records of these funds)
 - Maintaining relations with tenants and handling tenant problems
 - Maintaining the property (through preventive, corrective, and routine maintenance)
 - Complying with local, state, and federal regulations
- A lease is a binding contract that allows a tenant to occupy (not own) a property.
- Types of leaseholds/leases:
 - **Estate at sufferance** : The tenant stays after the right to possess has terminated. The tenant is known as a holdover tenant.
 - **Estate at will** : The lease's duration is unknown when it's created.
 - **Estate for years** : The lease terminates automatically when the specified period (day, week, month, year, etc.) ends.
 - **Periodic estate** : The lease automatically renews at the end of each period specified in the lease.

2. Fair Housing and ADA Compliance Specific to Property Management

- The Americans with Disabilities Act, or ADA, is also important for property managers. While the ADA is important in commercial property management, apartment buildings are generally subject to ADA regulations.
 - ADA requirements impact any organization that provides goods or services to the general public.
 - ADA standards for accessible design (SAD) apply to new construction and remodeling of public accommodations and commercial buildings.
 - Community spaces in apartments built before 1990 must be ADA compliant. All public spaces must be fully accessible in apartments built after 1990.

- The U.S. Department of Housing and Urban Development (HUD) enforces the ADA as it relates to public housing, housing assistance, and housing referrals.
- Landlords and property managers must modify existing practices and rules to accommodate tenants with disabilities.
- Tenants with disabilities must be allowed to reasonably modify their residences to accommodate their disabilities.
- Commercial tenants may be responsible for providing necessary accommodations as provided in the lease agreement.
- Landlords are required to make reasonable accommodations in order to ensure that people with disabilities are not discriminated against.
- Reasonable accommodations include permitting tenants to make reasonable disability-based modifications at the tenant's expense and deviating from policies that would interfere with the tenant's ability to enjoy the property.
- Assistance animals are not considered pets, and landlords may not charge a pet deposit or additional rent due to the presence of an assistance animal.
- The Office of Fair Housing and Equal Opportunity (OFHEO), a subdivision of HUD, enforces fair housing laws, including ADA and the federal Fair Housing Act.
 - Aggrieved parties, including licensees, can file fair housing complaints through FHEO for up to one year following the time the alleged discrimination occurred. Licensees may not file on behalf of another aggrieved party.
 - A fair housing specialist reviews the complaint, determines if a potential violation exists, and, if so, files a formal complaint.
 - The formal complaint may be referred to a local or state agency or may be investigated by FHEO after HUD assigns investigators.
 - The investigation involves notifying the alleged violator and gathering evidence needed to determine whether a violation did occur.
 - If found guilty of federal fair housing violations, licensees may face lawsuits and payment of compensatory damages, attorney fees, or civil penalties. Real estate licenses may also be subject to license suspension or revocation.
- Landlords and property managers are subject to federal, state, and local fair housing laws.
- It's illegal to use race, color, religion, national origin, sex, familial status, or disability to discriminate in the sale, lease, or financing of housing.
- The following real estate activities are subject to anti-discrimination laws:
 - Sale or rental of housing or residential lots
 - Provision of real estate brokerage services
 - Housing appraisals and financing
 - Advertising housing for sale or rent
- It's illegal to perform any of the following acts if the action discriminates against anyone in a protected class:
 - Refuse to sell or rent a house.
 - Offer different terms, conditions, or privileges when selling or renting a house.
 - Indicate a preference or limitation when advertising a home for sale or rent.
 - Coerce, threaten, intimidate, or interfere with a person's housing rights.
- Property managers must be familiar with fair housing laws, especially when attracting and selecting tenants or when working with property owners. Blockbusting and steering are illegal under the federal Fair Housing Act and must be avoided.
 - Blockbusting manipulates owners into the fear that the entry of a protected class will negatively impact property values to encourage an owner to rent or sell. This fear is used to convince owners to sell or rent at a lower price.
 - Steering occurs when members of protected classes are guided (or steered) toward certain areas, buildings, or neighborhoods by a property manager or real estate licensee.
- There are some exceptions or special circumstances allowing for the exclusion of some prospective renters that would otherwise be protected. For example:
 - The Housing for Older Persons Act of 1995 specifically permits some housing facilities to discriminate based on familial status. This exemption permits senior housing facilities and communities to refuse to sell or rent homes to families with minor children. The facilities must meet certain requirements to be eligible for the exemption.
 - The Mrs. Murphy exemption (if a dwelling has four or fewer rental units and one of the units is owner-occupied, the property is exempt from the federal Fair Housing Act if the owner doesn't run discriminatory advertising) doesn't apply if the property owner is represented by a real estate licensee.
 - Religious organizations that sponsor housing may restrict residency to members of that organization as long as the religion doesn't discriminate against protected classes when allowing membership to the organization.
 - A private club that restricts its membership may rent or sell housing to its members only as long as it doesn't offer housing to the general public.

B. Landlord and Tenant Rights and Obligations

- The Uniform Residential Landlord Tenant Act (URLTA) is a sample law that states may follow in enacting their own landlord-tenant legislation. The purpose of this act is to base landlord-tenant law on contract law instead of common law, thereby providing more specific guidance to both landlords and tenants.
- Many states have patterned their landlord-tenant regulations after URLTA's provisions.
- A landlord's duties-and by extension, the duties a property manager will perform-vary, depending on the property management agreement. However, unlike the landlord or owner, the property manager's license may be at stake. These general duties include:
 - Abide by fair housing, civil rights, and Americans with Disabilities Act (ADA) laws.

- Prepare and oversee budgets as outlined in the property management agreement.
- Properly receive, account for, and disburse security deposits.
- Properly account for prepaid rent and rent received.
- Disclose names and addresses of those responsible for building management, rent collection, repairs, complaints, and issue notices as required by the state.
- Ensure a unit is vacant for a new tenant.
- Check vacated units for damage and cleanliness.
- Keep the property safe, clean, and habitable.
- Adhere to building codes.
- Perform or arrange for necessary repairs.
- Oversee common area maintenance.
- Manage serviceability of all major systems.
- Provide adequate notice to tenants regarding entry for repairs or maintenance (except in case of emergency).
- Adhere to legal eviction processes when an eviction due to failure to pay rent or other breaches of the lease agreement becomes necessary.
 - **Actual eviction:** This is the legal process used to physically remove the tenant.
 - **Self-help eviction:** The landlord takes matters into his own hands and evicts the tenant without using legal procedures.
 - **Constructive eviction:** The tenant is prohibited from quiet enjoyment of the premises and vacates prior to termination of the lease agreement.
- All parties (landlord, property manager, and tenants) are obligated to abide by the lease terms.
- Landlords may restrict a lessee's use of the premises to those activities for which the property is intended; i.e., prohibiting any use other than residential or a specific type of business.
- Tenants are afforded the rights of quiet enjoyment and possession during the lease term.
 - Quiet enjoyment of the leased property means the right to use the property without undue interference from the landlord or others and the right to live in safety and comfort.
 - Tenants have the right to possess (use) the property for its legal intended purpose.
- Neither the landlord nor the tenant is required to make improvements to the property. Tenants must receive the landlord's permission to make property improvements.
- Residential tenants aren't required to perform maintenance but must maintain the property in the same condition in which they received it. Tenants should promptly report all maintenance or safety issues.
- A tenant, either commercial or residential, is generally responsible for those areas of the property under his direct control. In general, most states require that tenants:
 - Keep the property safe, clean, and sanitary.
 - Avoid damaging the property and report maintenance, infestation, or safety issues.
 - Allow landlords or maintenance staff to enter the property as required.
 - Pay rent and adhere to lease terms.
 - Obey local laws and regulations.
- URLTA provides tenant rights if the landlord fails to meet obligations. First and foremost, tenants need to provide the landlords with written notice of the issue and that they'll exercise their rights under the act if not resolved in a timely matter. Tenants could:
 - Make repairs and deduct the repair costs from rent (keep receipts and submit with the rent payment).
 - Find alternative temporary housing (if current housing lacks essential services, rent may be waived until the issue is resolved).
 - Sue to recover damages (may be done in serious cases).
 - Terminate the lease agreement.
- The act also provides landlord rights if the tenant fails to meet obligations. URLTA provides protections to tenants, such as proper advance notice and time to remedy any obligation breaches. The time allotted may vary, depending on the type of tenant noncompliance. Landlords may be able to:
 - Sue for unpaid rent.
 - Terminate the lease agreement.
 - Begin eviction proceedings.
- A property management agreement formalizes the agency relationship between a licensee/property manager and owner and outlines each party's duties and rights.
- A property manager is usually considered a general agent. As a general agent and fiduciary for the owner, a property manager is authorized to perform all day-to-day property management-related duties on the owner's behalf.
- Common fiduciary duties performed by property managers include (OLD CAR):
 - **Obedience** : Agents must obey all of the landlord's lawful instructions related to managing the property.
 - **Loyalty** : Agents must put the landlord's interests ahead of all others', including their own.
 - **Disclosure** : Agents must disclose all material facts related to managing the property.
 - **Confidentiality** : Agents must maintain the landlord's personal and financial confidentiality, disclosing nothing that would damage the landlord's ability to negotiate for the best rental price and terms.
 - **Accounting** : Agents must account for all money or property belonging to the landlord.
 - **Reasonable skill and care** : Agents are obligated to use reasonable skill and care when performing the duties prescribed by the parties' agreement.